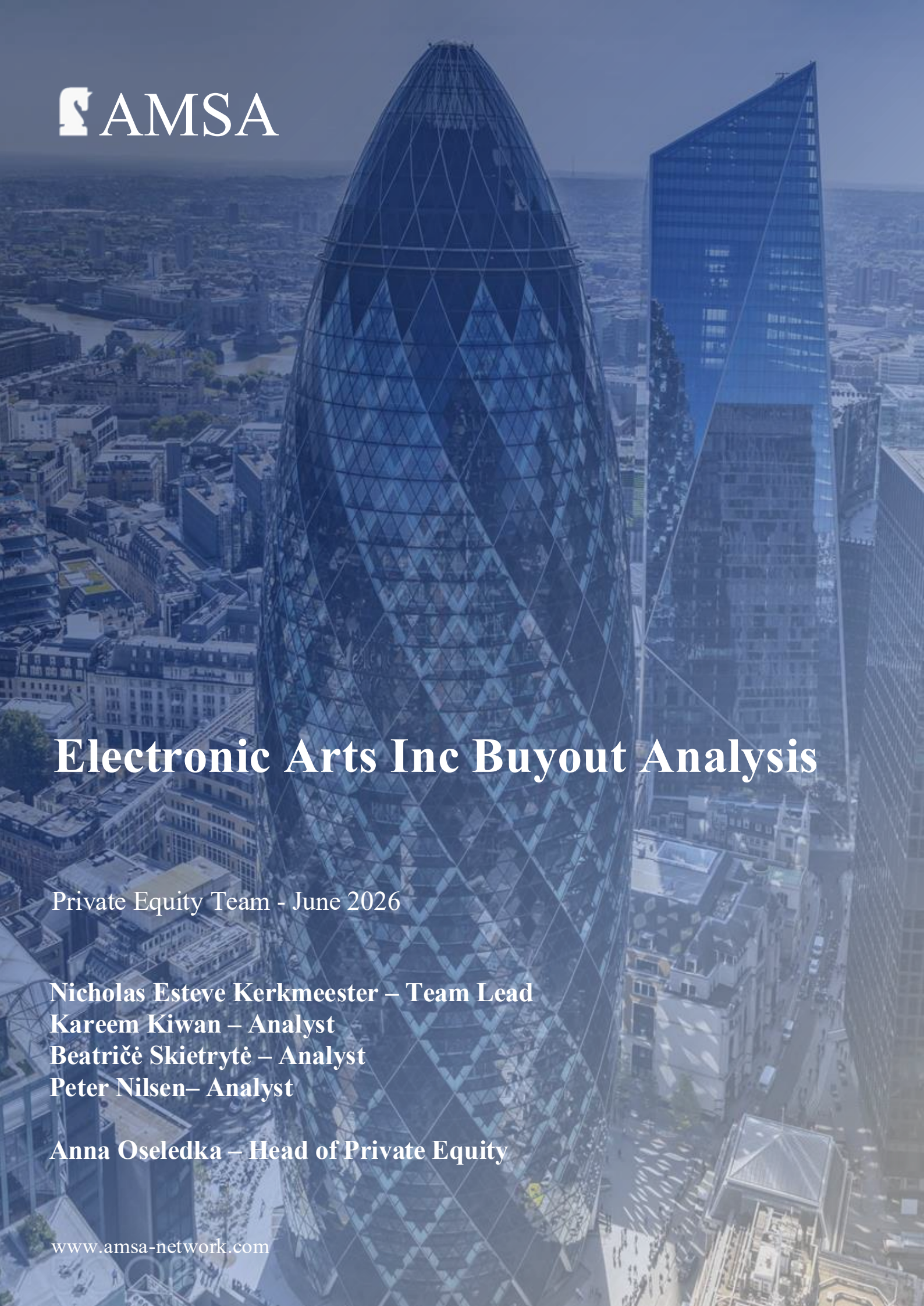


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Electronic Arts Inc Buyout Analysis

Private Equity Team - June 2026

Nicholas Esteve Kerkmeester – Team Lead
Kareem Kiwan – Analyst
Beatričė Skietrytė – Analyst
Peter Nilsen– Analyst

Anna Oseledka – Head of Private Equity

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Electronic Arts Inc.

Buyout Opportunity

Team Lead: Nicholas Kerkmeester
Kareem Kiwan, Beatrice Skietryte, Peter Scott Nilsen

Agenda

I. Executive Summary

II. Sector & Company Overview

III. Investment Thesis

IV. Exit & Returns

Executive Summary

Consortium-Led Take-Private of Electronic Arts

Transaction Overview

- On **September 29, 2025**, Electronic Arts announced a definitive agreement to be acquired by a consortium led by **Silver Lake, PIF, and Affinity Partners** for **$210.00 per share in cash**, implying **~$55bn enterprise value**
- The transaction is a **take-private** of EA
- The transaction is financed with **$18.0bn of debt** across **Term Loan A, Term Loan B, and Senior Notes**, alongside **$34.8bn of equity**, implying a **32.8% debt / 67.2% equity** capital structure.
- Returns are driven primarily by **operational growth**, with the model underwriting **21.0x entry** and **18.9x exit EV / EBITDA**
- Through **mandatory amortization and cash sweep**, the structure fully repays **TLA and TLB by exit**, reducing net debt to approximately **$6.8bn** and supporting **1.93x MOIC** and **14.1% IRR**



Pre Ownership Structure:
90.1% of Public & of 9.9% PIF

Gross Equity Value:
USD 54.1 billion

Post Ownership Structure:
100% Acquired

Multiple

2025	2030E
21.0x	**18.9x**
NTM EV/EBITDA	EV/EBITDA

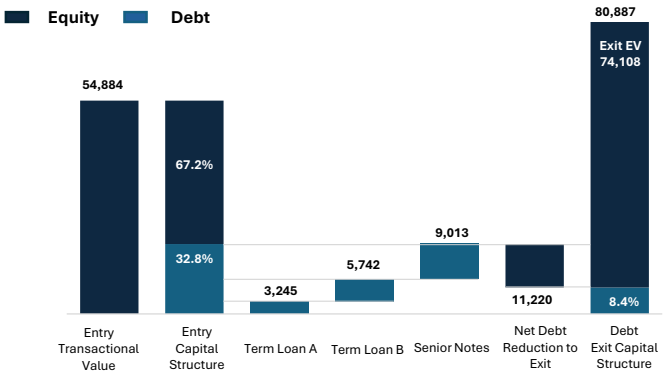
Structure

Debt	Equity
17,999	**34,837**
32.8% of Total[1]	67.2% of Total[1]

IRR
14.1%

MOIC
1.93x

Sum of the Parts of the Transaction Structure ($mn)



Notes: Includes additional PIF ~9.9% rollover into HoldCo equity.

Electronic Arts in a Nutshell

From Gaming to Sales

ELECTRONIC ARTS

Electronic Arts is a global interactive entertainment company focused on games, content and live services across console, PC and mobile. Its portfolio is anchored by sports and owned IP franchises such as EA SPORTS FC, Madden NFL, The Sims, Apex Legends and Battlefield.

Shareholder Structure:

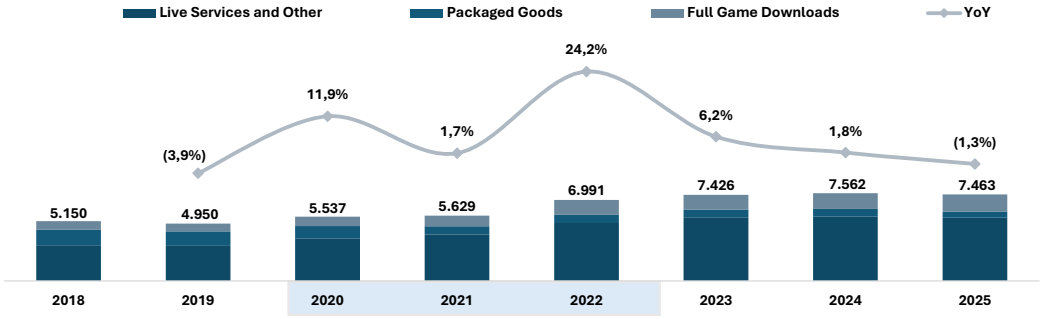
Vanguard	11.6%
PIF	9.9%
BlackRock	8.9%
State Street	6.0%
Other Shareholders	63.6%

Revenue by Geography:

International	North America
58.8%	41.2%

Net Revenue by Segments ($ Mn)

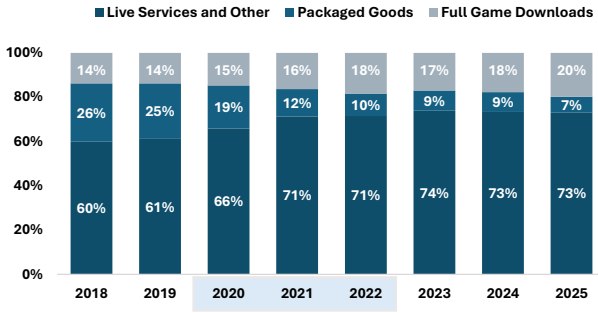
Diversified business model, with live services as the foundation of EA's revenue stream



Key Metrics

USD Mn	2025 10-K
Market Cap	$50.95 bn
Enterprise Value	$50.00 bn
Cash	$2.9 bn
EBITDA Margin	25.1%
Net Cash/EBITDA	0.2x

Revenue Mix by Segmentation (%)



Sources: Electronic Arts Inc 10-K (FY21,FY23,FY25) , Refinitiv, Yahoo Finance

Notes: Net Debt = $-364m, Net Debt/EBITDA = -0.2x

Governance Overview

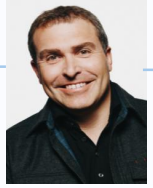
Clean governance setup supports take-private execution



Andrew Wilson

Chairman & CEO

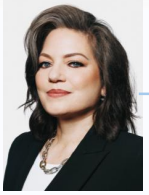
- EA since 2000
- CEO since 2013
- Continuity in core sports & live services



Stuart Canfield

EVP & CFO

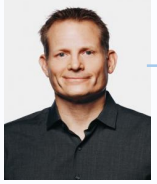
- EA since 2003
- CFO since 2023
- Deep finance & M&A Experience



Laura Miele

President, EA Entertainment

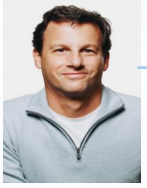
- EA since 1996
- President since 2023



Cam Weber

President, EA SPORTS

- EA since 2009
- President since 2023
- Proven sports & live service leader



Jacob Schatz

EVP & CLO

- EA since 1999
- CLO since 2014
- Governance & transaction expertise

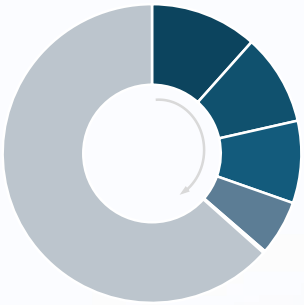
Management Continuity

Strong management helps operations

- ❖ **Seasoned leadership** across sports, entertainment, finance, and legal
- ❖ Most senior leaders have **15-25+ years at EA**
- ❖ Supports post-close **operating continuity and execution stability**

Ownership Structure

EA's Ownership Structure pre-takeover



Governance Takeaways

Ownership that supports a take-private

- ❖ Passive index holders **reduce blocking risk**
- ❖ **Saudi PIF** is a **key strategic shareholder**, whose support is required for the buyout
- ❖ **Limited insider** ownership leaves room for a **sponsor-led incentive reset**

CEO Compensation Snapshot

FY2025 public-company compensation

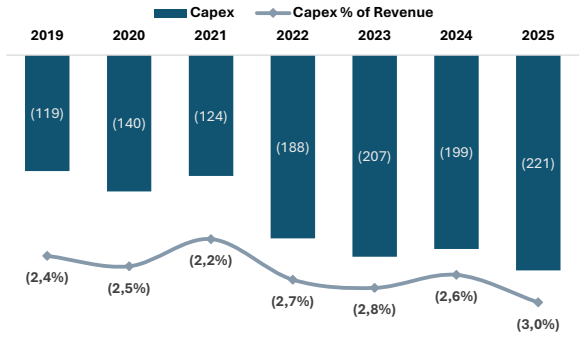
Total Compensation	Base Salary	Variable Compensation	CEO Pay Ratio	Implication
$30.5m	$1.3m	95.7%	260x	High public company pay, but low insider equity

Growing Investment With Resilient Free Cash Flow

Despite rising reinvestments, EA continues to convert earnings into substantial FCF

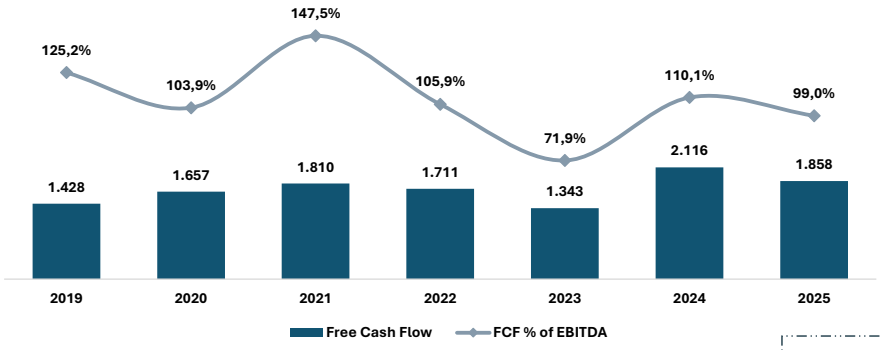
Capital Expenditure ($ Mn; %)

Capex is showing signs of increasing as games become more AI-based



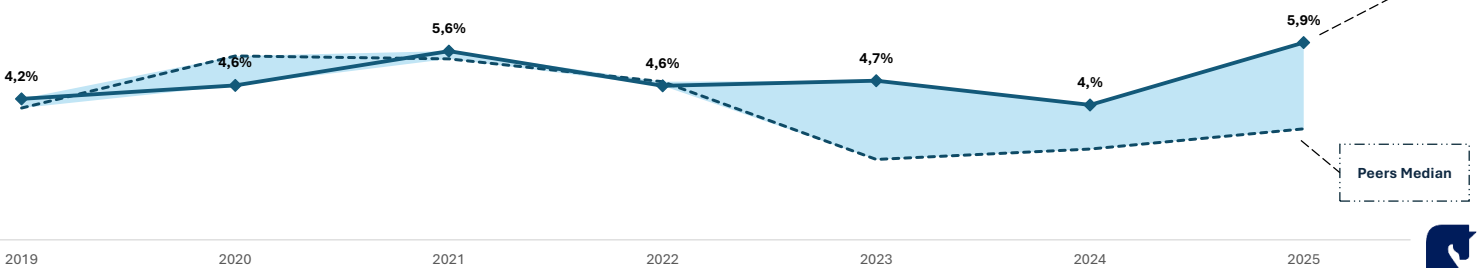
Cash Conversion Proxy ($ Mn; %)

Strong cash conversion supported by low capex intensity and a recurring, asset-light digital business model



Peers Median FCF Yield Compared to EA's

Cash yield well above peers' average, Strong shareholder value creation in the past 3 years



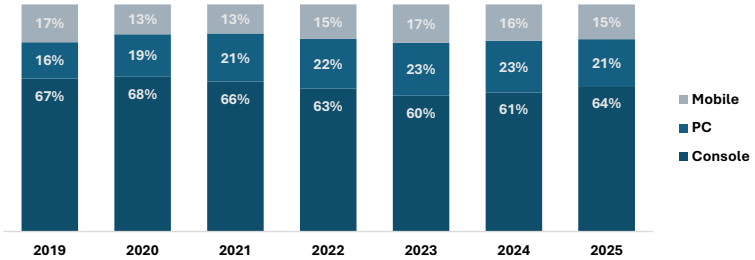
Notes: Comps include Ubisoft, Roblox, Take-Two Interactive, NetEase, and Nintendo. I **Sources:** FactSet

Resilient Model, with Recurring Margins

Recurring franchises and monetization' power support strong earnings

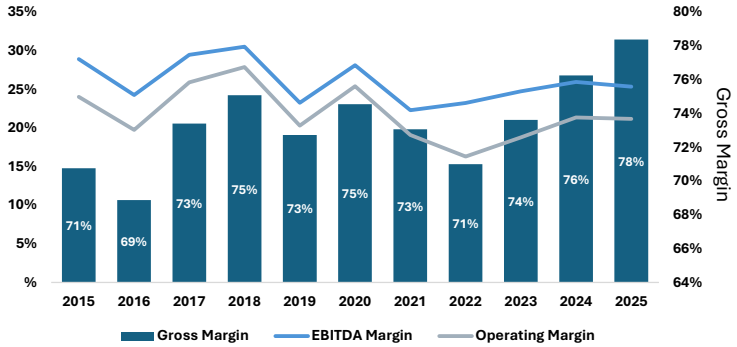
Revenue Mix by Type (%)

Growth in PC Steam sales; rebounding of Console sales; decrease in Mobile



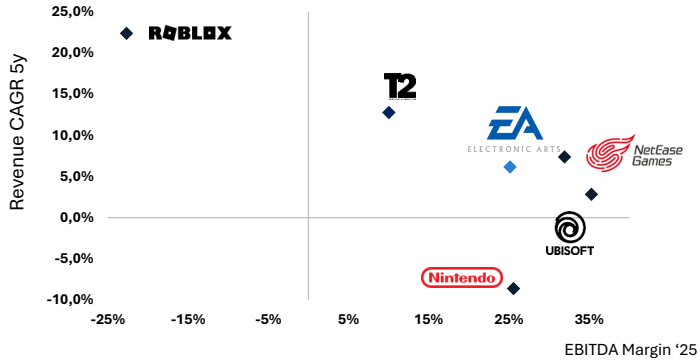
Profitability Margins (%)

Healthy gross margins with consistent, solid EBITDA and operating margins



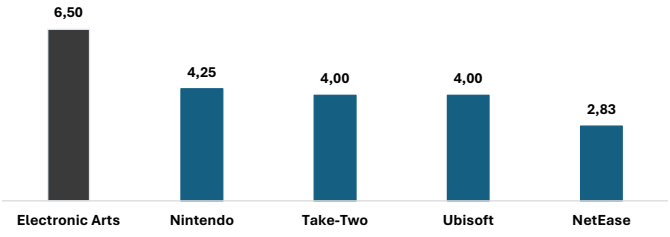
Peers Profitability Comparison (%)

Solid growth and decent margins; showing stability and capabilities of earnings



Franchise Longevity Comparison (#)

Average observed "hit" lifespan points to stronger earnings visibility



Notes: Average lifespan = average number of fiscal years a recurring franchise appeared as a company-disclosed hit (FY19–FY25).

Sources: FY19-FY25 company filings, annual reports, and earnings releases

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The EA Catalog

The Unmatched Leverage of Franchises

1 Scaled IP → 2 Multi-Platforms → 3 Monetization → 4 Recurring Revenue

Always-on Communities

APEX LEGENDS · the SIMS · EA SPORTS BATTLEFIELD

Annualized Sports Engine

F1 · COLLEGE FOOTBALL · EA SPORTS FC · MADDEN NFL · UFC · NHL

Premium IP & Catalog

STAR WARS JEDI SURVIVOR · IMMORTALS OF AVEUM

Blueprint of Revenue Stream

1 **Proven Franchise Base**

EA is built around **scale-owned** and **licensed IP**, lowering dependence on hit releases

2 **Multi-Platform Reach**

Console, PC, and mobile distribution **expands audience reach** and **supports catalog monetization** across channels

3 **Multiple Monetization Loops**

Revenue extends beyond **full-game sales** into **live services**, **in-game spending**, **DLC**, and **subscription**

4 **Durable Earnings Base**

Portfolio breadth and **repeat monetization** create a more recurring, scalable, and visible revenue model

Sources: Electronic Arts FY2024 Form 10-K, FY2025 Form 10-K, and official franchise brand materials.

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Key Investment Risks

Macro Risks

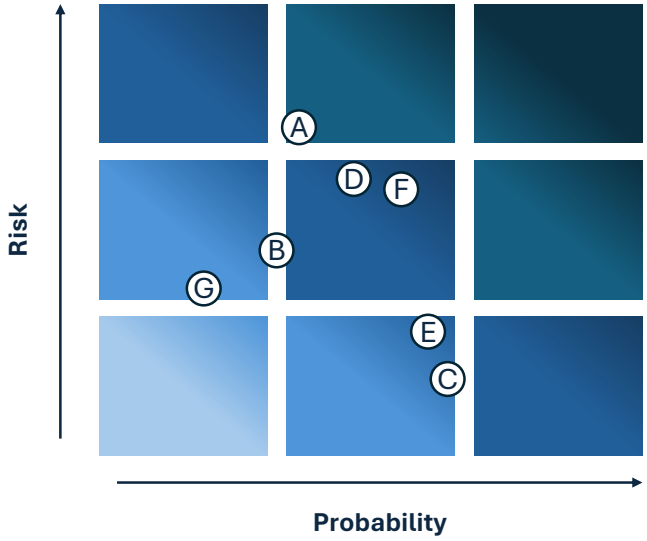
- A — Platform Ecosystem Changes
- B — Governmental Regulations
- C — FX Exposure

Operational Risks

- D — Live Services Engagement Loss
- E — "The Next Big Thing"

Firm-Specific Risks

- F — Ultimate Team Concentration
- G — Sports License Dependency

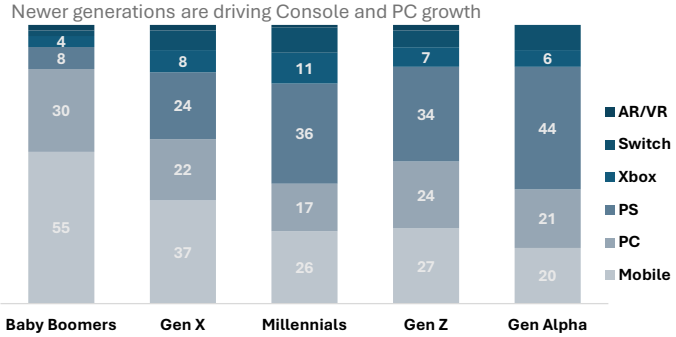


Gaming Growth Is Shifting Towards EA's Core Platforms

PC and console are expected to outgrow mobile through 2028E, supporting EA's premium and live-services mix

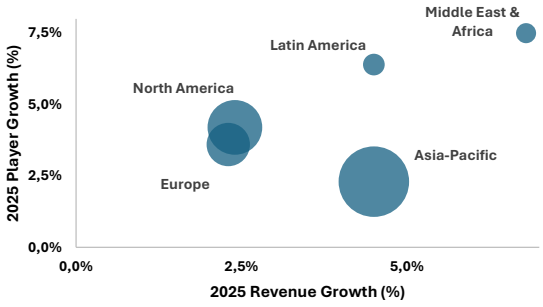
Primary Gaming Platform by Generation (%)

Newer generations are driving Console and PC growth



Large Markets and Fast-Growing Regions in Global Gaming (USD bn)

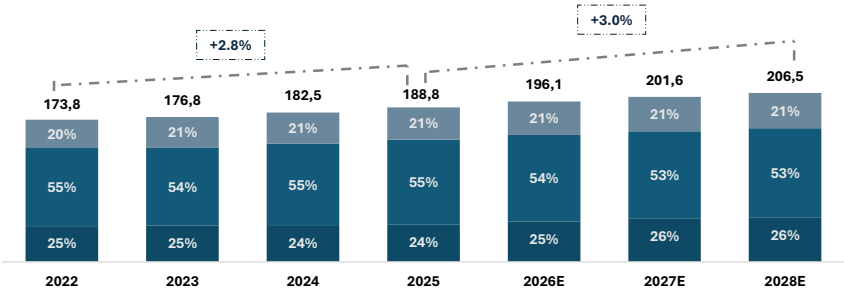
Western economies lag, while APAC and ME&A explode



Global Games Market by Platform (USD bn)

Strong growth projected, driven by PC and Consoles, with mobile lagging behind

CAGR	Console	Mobile	PC
'22– '25	2.0%	2.7%	4.1%
'25-'28	4.7%	2.2%	3.3%



- **Console** and **PC** are forecast to **outgrow mobile**, creating a favorable **mix shift** toward EA's **core platforms**
- **Younger gamers** shift toward **console** and **PC**, aligning **future demand** with EA's **strongest revenue channels**
- **Gaming growth** is both **durable** and **geographically diversified**, with **large existing revenue pools** in North America and Asia-Pacific and **faster growth** in regions like Latin America and the Middle East & Africa

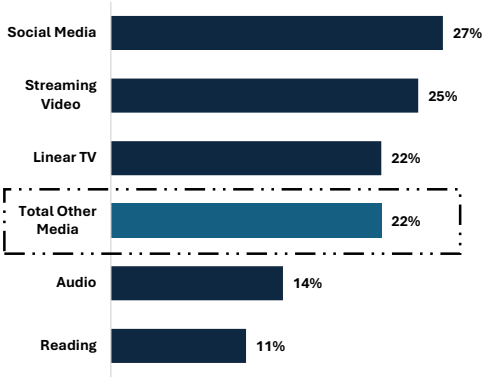
Sources: Bain & Company, *Gaming Report 2025*; Newzoo, *Global Games Market Report 2025*; Newzoo industry research.

Evolving From "One Hit" Content Into a Franchise Ecosystem

Scaled IP's with recurring live-service models turn margins more valuable

1

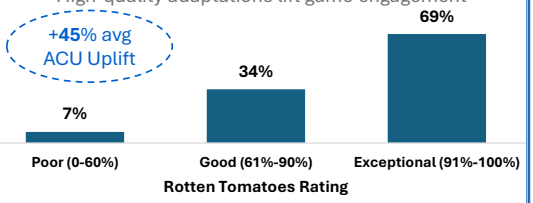
Share of Gamers' Time in Other Media Spent on Gaming-Related Content (%)



2

Change in Average Concurrent Users After an Adaptation Release, by Rotten Tomatoes Critic Score (%)

High-quality adaptations lift game engagement

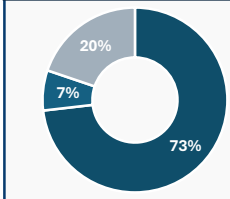


IP Circularity



4

EA FY2025 Revenue by Type



- **Live Services and Other** $5.461B
- **Packaged Goods** $0.542B
- **Full Game Downloads** $1.478B

$7.463B
Total Revenue

Franchise Portfolio

APEX LEGENDS · EA SPORTS FC · MADDEN NFL · the SIMS · BATTLEFIELD · NHL · IMMORTALS OF AVEUM · STAR WARS JEDI SURVIVOR · F1

3

How Consumers Engage with Gaming: 80% Play, 64% Watch Gaming Content, and 35% Participate in Other Ways



Sources: Bain & Company, *Gaming Report 2025*; Newzoo, *Global Games Market Report 2025*; Newzoo industry research.

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I Strong Cash Flows to aid with Deleveraging

II Solid Platform for Future Growth

III Clear and Actionable Value Creation Strategy

I Strong Cash Flows to aid with Deleveraging

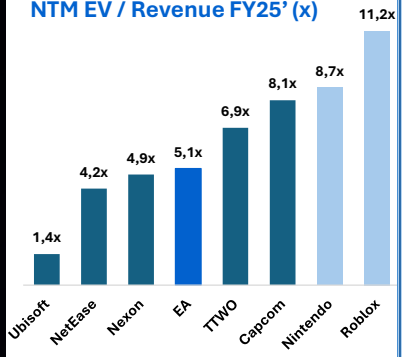
II Solid Platform for Future Growth

III Clear and Actionable Value Creation Strategy

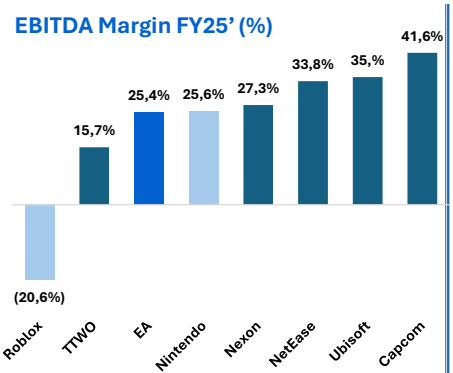
Comparable Companies Analysis

Electronic Arts Screens as a Premium Quality Publisher

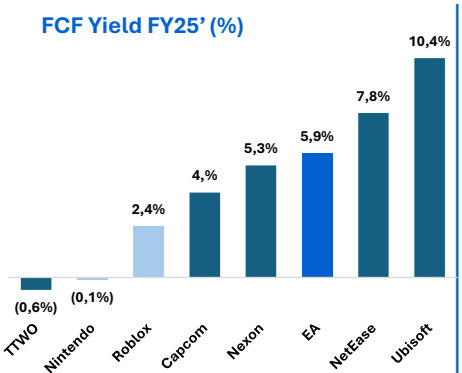
NTM EV / Revenue FY25' (x)



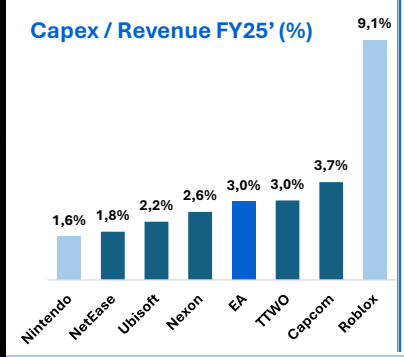
EBITDA Margin FY25' (%)



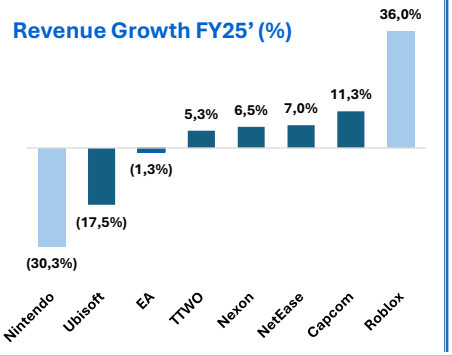
FCF Yield FY25' (%)



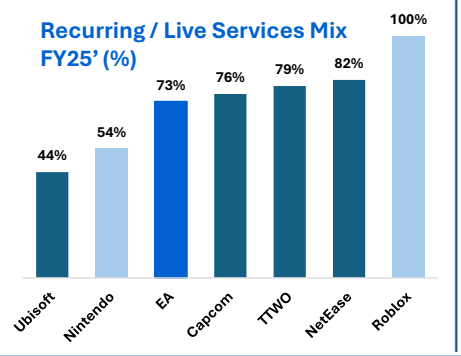
Capex / Revenue FY25' (%)



Revenue Growth FY25' (%)



Recurring / Live Services Mix FY25' (%)



Key Takeaways

- **EA ranks** near the **top** on margin, FCF yield, and revenue quality
- Broad peer median **understates EA due to** distressed and structurally different peers
- **Nintendo** and **Roblox** are useful reference points, but **not clean valuation anchors**

EA (Electronic Arts)
Comparable Peers
Non-Comparable Peers

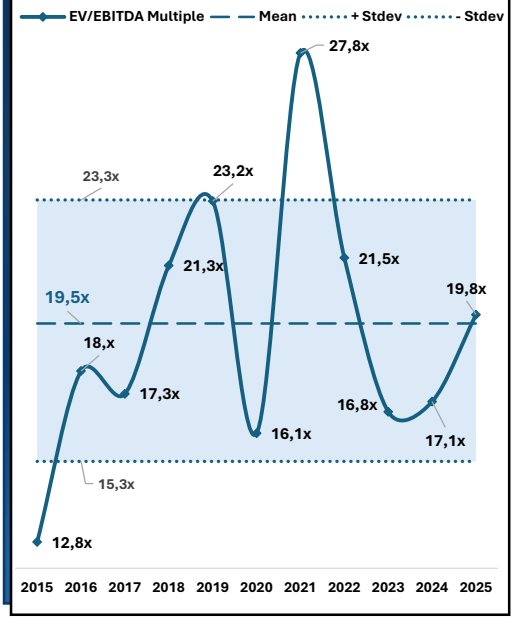
Sources: FactSet, Refinitiv, Company Filings, Visible Alpha

Triangulating EA's Entry Multiple

Historical trading, peers, and precedent deals all support paying a premium – leading to our 21.0x multiple

Historical (EV/EBITDA)

Current multiple near historical mean, suggesting fair value



Transaction Comps Analysis ($,%)

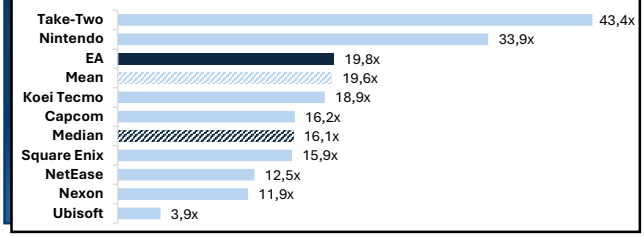
Varying multiples; leaning on the EA acquisition brings us to **18,0x**

Date	Acquirer
Jan-22	Take-Two
Feb-21	EA
Dec-20	EA
Aug-20	Tencent
Apr-23	Sega
Jan-22	Microsoft
Jan-22	Sony

Metrics		
Target	**EV**	**EV/EBITDA**
Zynga	$12,7b	***19,2x***
Glu Mobile	$2,1b	***27,4x***
Codemasters	$1,2b	***29,9x***
LeYou	$1,4b	**15,8x**
Rovio	$706m	**12,7**
Activision	$68,7b	**20,9x**
Bungie	$3,6b	**21,4x**

Peers Comparison FY'25 (EV/EBITDA)

EA trades at a premium relative to peers' median, reflecting superior growth and lower risk



- **Historical (19.5x):** EA trades near its **long-term average**, supporting a **fair-value** view
- **Peers Median (16.1x):** The group looks **too low** for EA, given its **stronger quality** and **lower risk**.
- **Transactions (22.0x):** Control premiums support a **higher takeout value**, backing our **21.0x entry multiple**.

Notes: *Sega/Rovio* and *Sony/Bungie* multiples are implied / approximate.

Sources: EA filings; WSP Trading & Transaction Comps; Refinitiv; company/deal disclosures.

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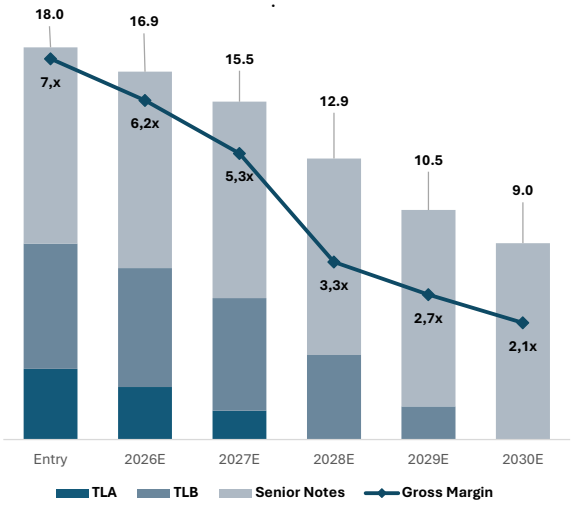
Transaction Structure

Strong cash flows makes debt paydown occur rapidly, decreasing interest expense

Sources & Uses

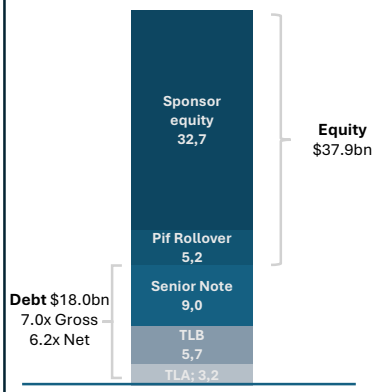
Uses	Value ($bn)	EBITDA Turns (x)
Buyout of equity	54,2	
Refinancing pre buyout debt	2,2	
Fees	1,5	
Sources		
Excess Cash	2,0	0.80x
Term Loan A	3,2	1.26x
PIF Rollover	5,2	2.02x
Term Loan B	5,7	2.23x
Senior Notes	9,0	3.50x
Sponsor Equity	32,7	12.69x

Peers Debt Paydown and Gross Leverage Deleveraging ($bn,%)



- EA's capital structure **delevers** over the **hold period**, as **debt balances decline each year** and **gross leverage compresses** from **7.0x to 2.1x** by exit.

Entry Capital Stack ($bn)



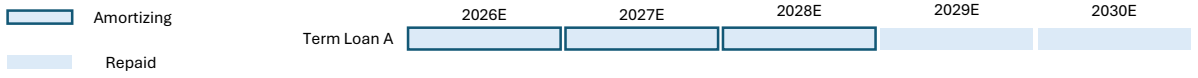
- **TLA sweeps first** and is fully repaid by **2028E**
- **TLB amortizes/sweeps** down by **2030E**
- **Senior Notes** remains **outstanding** until **exit**

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Debt Tranch Roll-Forwards & Paydown Hierarchy

Debt package is layered to maximize flexibility: TLA delivers first, TLB caries the core sweep, and Senior Notes preserves liquidity

TERM LOAN A



- **100% of cash available** to be used is used to **payoff TLA**
- **5% mandatory amortization** each year (2026 was 10%)

	2026E	2027E	2028E	2029E	2030E
BOP	3,245	2,411	1,880	-	-
Mandatory Amortization (-)	(324)	(162)	(162)	-	-
Cash Sweep (-)	(510)	(369)	(1,718)	-	-
EOP	2,411	1,880	-	-	-

TERM LOAN B



- **100% of cash available** to be used is used to **payoff TLB**
  - Becomes paid after **TLA ends (2028E)**
- **5% mandatory amortization** each

	2026E	2027E	2028E	2029E	2030E
BOP	5,742	5,455	5,168	4,441	2,076
Mandatory Amortization (-)	(287)	(287)	(287)	(287)	(287)
Cash Sweep (-)	-	-	(440)	(2,078)	(1,789)
EOP	5,455	5,168	4,441	2,076	-

Senior Notes

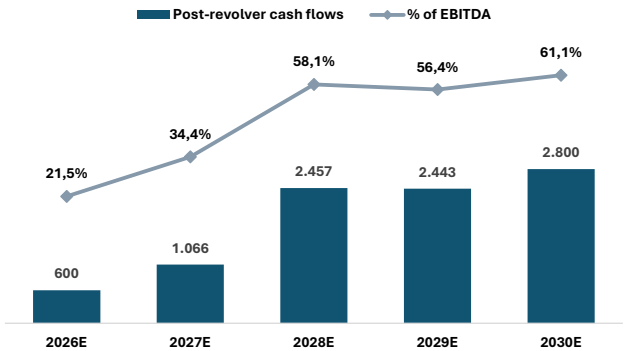
- 100% **non-amortizing** until maturity
- Bearable **7.5% cash coupon**
- **Bullet maturity** after mandate period

	2026E	2027E	2028E	2029E	2030E
BOP	9,013	9,013	9,013	9,013	9,013
Mandatory Amortization (-)	-	-	-	-	-
EOP	9,013	9,013	9,013	9,013	9,013

Resilient Capital Structure: Leveraged but Healthy

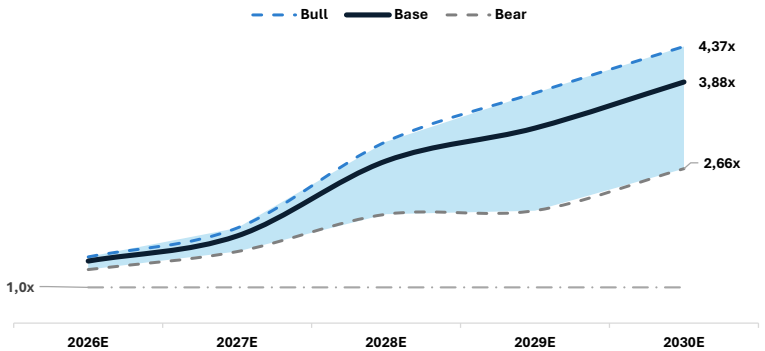
Strong cash flows support debt coverage without compromising financial integrity

Residual Cash Flow After Mandatory Debt Service ($mm,%)



- **Post-Revolver Cash Flows: Residual cash flow** remains strong after **mandatory debt service**, preserving **financial flexibility**

Debt Service Coverage by Scenario (x)



- **DSCR** stays above **1.0x** in all cases, supporting a **healthy capital structure**

Debt Tranche	Maturity	Floating Rate/Fixed Coupon	% of Fees	Volume (USD Mn)	EBITDA Turns	Debt Tranche	Volume (USD Mn)	EBITDA Turns
Term Loan A	5 yrs	SOFR + 3%	1.8%	3,245	1.26x	*PIF Rollover*	5,202	2.02x
Term Loan B	7 yrs	SOFR + 4%	1.5%	5,742	2.23x	*Excess Cash*	2,048	0.80x
Senior Note	8 yrs	8%	2.5%	9,013	3.50x	*Sponsor Equity*	32,670	12.69x

I Strong Financial Position

II Acquisition Value Lever

III Clear and Actionable Value Creation Strategy

Building IP Through Everplay Acquisition

A diversified cash-generative IP platform addition to EA's catalog

everplay

Global independent games label, developer, and publisher focused on premium games, working simulation titles, and children's educational apps

Business Model

- Develops first-party IP, publishes third-party titles, and monetizes family content
- Revenue supported by premium launches, DLC, back catalogue sales, and mobile monetization

Financial Snapshot

GBP Mn	2025 10-K
Revenue	£166.0m
Adj EBITDA	£48.5m
Gross Margin	46.0%
Cash	£51.9m

Operating Scale

Employees	397
Active Titles	150+
Evergreen Franchises	12
Divisions	3

Three Specialized Content Engines

Premium indie / AA publishing platform
Recognizable franchises, with broad catalog

64%

Working Simulation Specialist
Repeated DLC and Franchise Potential through simulations

18%

Kids, Family Mobile, and Educational Games
Extends EA into family-friendly mobile engagement and licensed brand category

18%

Investment Highlights

Diversified Platform
Three labels decreases idiosyncratic risk

Recurring Catalogs
Strong names allowing for future growth

Scalable Model
A mix of IP and third-party publishing broadens the catalogue

Attractive Profile
Diversity and profitability allow for greater merger potential

Strategic Placement
Expands EAs catalogue into greater verticality

Capturing Lower-Cost IPs

EA scales Everplay's catalogue while Everplay adds indie /AA, simulations, and family-mobile exposure

What EA gives Everplay

Launch-to-franchise conversion

Turns successful releases into sequels, DLC roadmaps, and longer-lived franchises

FY2025 mix
- **25%** new releases
- **75%** back catalog

→ Proven catalog engine

Larger platform shelf

Expands reach across EA's console, PC, mobile, subscription, and platform-partner ecosystem

- EA Play
- PS / Xbox / Switch
- Apple Arcade / Netflix / partner Channels

Post-launch monetization

Increases lifetime value through prolonging the franchise

- Astrangon: 11 DLCs
- Major expansions / Season Passes
- **83%** estragon first-part mix

EA Scale + Everplay Catalog IP = **Longer Franchises with Lower-cost Verticals**

What Everplay gives EA

Lower cost IPs

Adds indie/AA, simulation, and family mobile content where budgets and development cycles are lower

- **150+** active titles
- **12** evergreen franchises
- **8** studios across **5** countries

Decrease in Sports Dependence

Diversifies the catalog from being sport-oriented to quality-of-life games

- **£166m** revenue FY2025
- **29%** EBITDA margin

New vertical & demographic exposure

Immediate increase in young teens to adult demographic

- Astrangon: **11** DLCs
- Major expansions / Season Passes
- **83%** astragon first-part mix

Why this matters for the LBO

Converts new releases
Into longer lived franchises

Adds simulation and family mobile
Without building internal studios from scratch

Expands recurring, catalogue-heavy cash flow
That supports deleveraging

Post-LBO Cash Flow Funds Everplay's Acquisition

EA redirects a portion of FY2027E cash available for debt sweep into Everplay

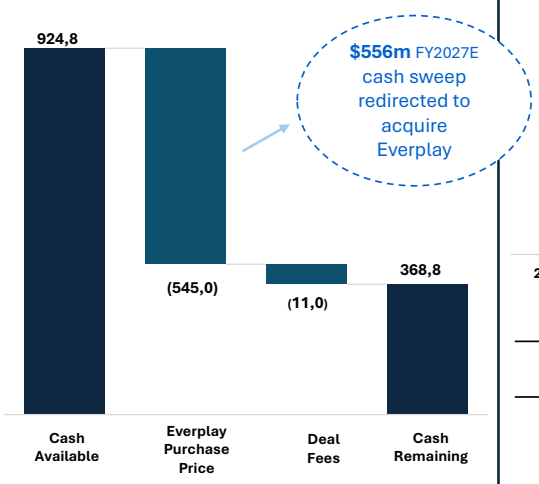
Transaction Structure

Target:	Everplay Group plc
Acquisition Timing:	FY2027E
Consideration:	100% Cash
Funding Source:	Cash Available for Sweep
Incremental Sponsor Equity:	$0
Incremental Acquisition Debt:	$0

Sources & Uses ($mm)

Uses:		Sources:	
Purchase Equity Value	545,0	Redirected Cash Sweep	556,0
Deal Fees	11,0		
Total Uses	556,0	Total Sources	556,0

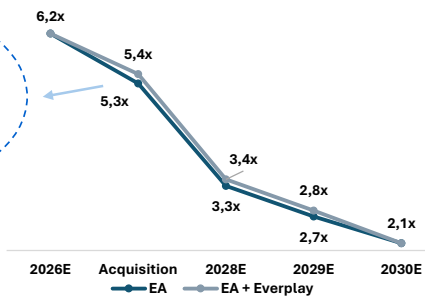
Funding Bridge through Cash Sweep FY2027E ($mm)



- Everplay primarily **shifts** debt paydown **timing** rather than altering the **deleveraging path**

Gross Debt/EBITDA Post Acquisition (x)

Deleveraging remains intact post-acquisition



Year	Gross Debt/EBITDA Change (x)
2027E	0,1x
2028E	0,1x
2029E	0,1x
2030E	0,0x

I Strong Financial Position

II Solid Platform for Future Growth

III Clear and Actionable Value Creation Strategy

PIF Ecosystem Expands EA's Reach

PIF-owned Savvy provides EA access to ESL FACEIT Group, creating an ecosystem channel to expand reach, deepen engagement, and monetize live-service franchises.

Phase 1 | Phase 2 | Phase 3

2017 455 $M — Respawn Entertainment

EA X Respawn Entertainment

Secured a top-tier development talent and expanded portfolio with **shooter franchises**.

2020 1.2 $B — Codemasters

EA X Codemasters

Acquiring **racing IP** and expanding its **global sports** reach.

2021 1.4 $B — Playdemic

EA X Playdemic

Aiming for an expansion of **mobile gaming** sector

Expansion in mobile action games and **storytelling experiences**

EA X Industrial Toys

2018 4.28 $B — Industrial Toys

Growth **in mobile gaming** through F2P and live-service models.

EA X Glu Mobile

2021 2.1 $B — glu

2026+ Strategic

1

PIF → SAVVY → EFG

PIF owns **100% of Savvy**, which owns **ESL FACEIT Group**, aiding EAs' access to tournament, community, and creator infrastructure.

SAVVY GAMES GROUP

ESL FACEIT GROUP

2

EA Franchise Activation

Use EFG's **tournament**, **community**, and **creator infrastructure** to amplify:

APEX LEGENDS

BATTLEFIELD

EA SPORTS

3

Value Creation Lever

- Broader fan **reach**
- Higher **engagement**
- Live-service **monetization**

Phase 3 shifts from acquisition-based expansion to ecosystem-driven franchise activation before exit

Sources: EA filings; Refinitiv.

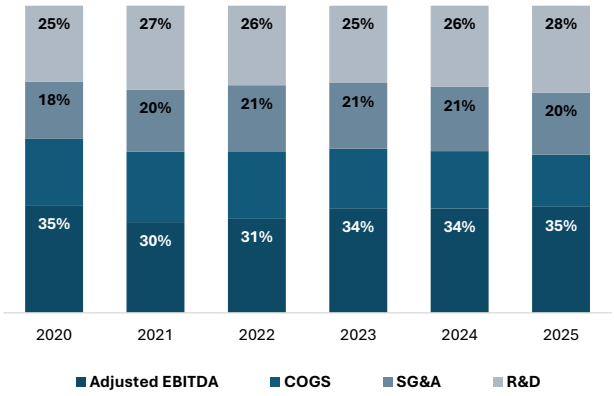
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R&D and SG&A Discipline Drive EBITDA Margin Expansion

Historical cost structure highlights R&D and SG&A as the largest controllable lever, leading to margin expansion

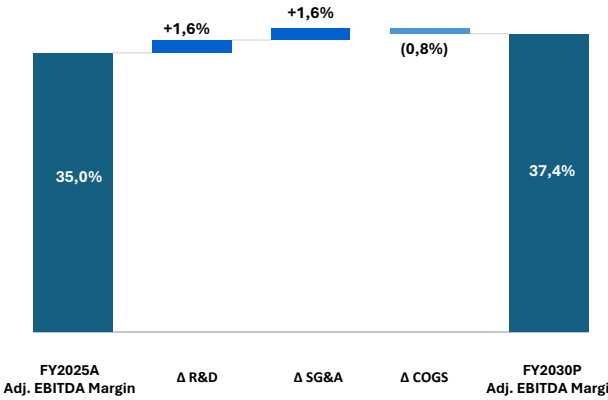
Adjusted EBITDA Margin Composition (% of Revenue)

Adjusted EBITDA Margin Composition Highlights R&D and SG&A as Key Value-Creation Levers



Adjusted EBITDA Margin Bridge to Exit (% of Revenue)

Forecasted R&D and SG&A margin contractions lead to EBITDA Margin increases



What History Shows

- **Gross margin already efficient** – COGS declined to 17% of revenue by FY2025A, limiting reliance on further margin upside
- **R&D is the primary value lever** – at 28% of revenue, modest productivity gains in EA's largest controllable cost bucket drive EBITDA upside
- **SG&A provides incremental operating leverage** – marketing and overhead create room for efficiency as EA concentrates spend on scaled franchises and lower-cost IP extensions

How We Get Here

- **R&D (+160 bps) -** shift **spend** towards **core franchises** and **live-service engines**, supported by reusable tooling and **AI-assisted development**
- **SG&A (+ 160 bps) – reduce launch-by-launch** paid marketing through community-led activation, creator deals, and **Savvy / EFG distribution channels**
- **COGS (-80 bps) -** conservatively underwrite platform, content, and hosting cost headwinds as engagement scales

Notes: Adjusted EBITDA = EBIT + D&A + SBC + Restructuring and nonrecurring charges

Sources: EA filings; Refinitiv; company/deal disclosures.

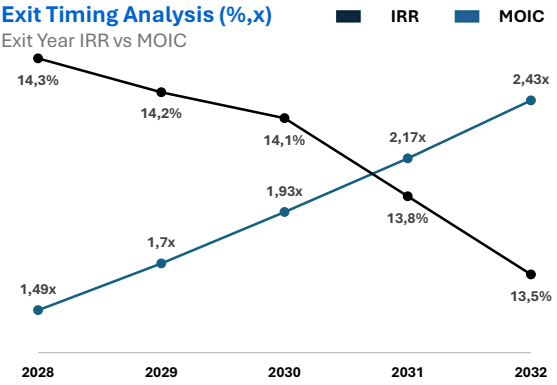
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2030 The Most Efficient Exit Path

2030 balances attractive returns, deleveraging, and public-market readiness

Exit Timing Analysis (%,x)

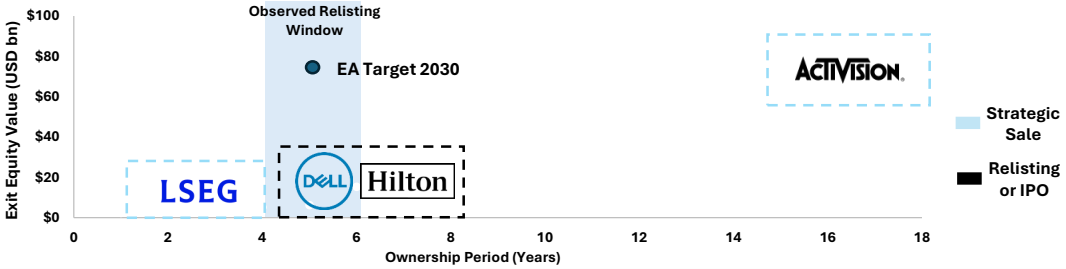
Exit Year IRR vs MOIC



	IPO	Strategic Sale	Sponsor to Sponsor Sale	Partial IPO
Buyer Universe	✓	—	—	—
Liquidity Capacity	✓	—	—	✗
Regulatory Risk	✓	✗	✓	✓
Valuation Control	—	✗	—	✗
Execution Certainty	✓	—	—	✗

Comparable Exits by Ownership Period and Exit Equity Value

Larger-scale exits have been achieved through either public-market relisting or exceptional strategic acquisitions.



- Public market exits have **worked well for large companies held** for around **four to six years,** which fits closely with EA's planned 2030 exit.
- **A strategic sale** is still possible, as Activision shows, but it would **depend** on a much **smaller group of buyers** and would likely face more **regulatory risk.**

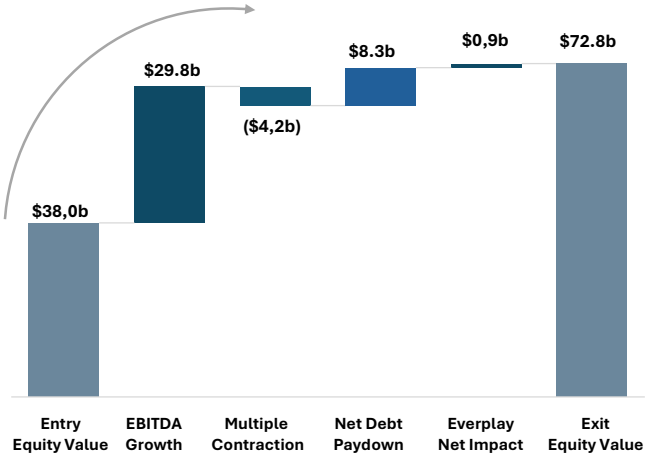
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Even at 18.9x, Does the Deal Still Work?

Strong foreseeable growth counteracts the multiple contraction

Equity Value Bridge ($bn)

Return bridge at an 18.9x exit multiple, including Everplay bolt-on impact



- **Value creation** is driven primarily by **EBITDA growth** and **deleveraging**, and **acquisition,** not multiple expansion
- At an **18.9x** exit multiple, the model supports a **1.93x MOIC**, and a **14.1% sponsor IRR**

Sponsor IRR at Various Exit Multiples (%)

Entry EV	**$54.8bn**
Exit EV	**$80.9bn**
Sponsor MOIC	**1.93x**
Sponsor IRR	**14.1%**

EXIT EBITDA as % of Base Case

Exit *EBITDA Multiple*	90%	95%	100%	105%	110%
18,50x	11,1%	12,4%	13,7%	14,9%	16,0%
18,90x	11,5%	12,8%	14,1%	15,3%	16,4%
19,10x	11,8%	13,2%	14,5%	15,7%	16,8%
19,40x	12,2%	13,6%	14,9%	16,1%	17,2%
19,70x	12,6%	14,0%	15,2%	16,5%	17,6%